

SECTION 8: INTERNATIONAL FINANCE

8.1 BALANCE OF PAYMENTS MARKING SCHEME

1990/CE/II/36 B	1994/CE/II/56 D	1998/CE/II/46 D	2004/CE/II/49 B (43%)	2009/CE/II/47 B (34%)
1990/CE/II/46 B	1995/CE/II/54 D	1998/CE/II/53 C	2004/CE/II/50 B (63%)	2010/CE/II/48 A (42%)
1990/CE/II/60 A	1995/CE/II/56 C	1999/CE/II/47 A	2005/CE/II/44 D (56%)	2010/CE/II/49 A (51%)
1991/CE/II/49 C	1995/CE/II/57 D	1999/CE/II/53 A	2005/CE/II/47 A (63%)	2012/DSE/I/40 A (52%)
1991/CE/II/50 D	1995/CE/II/58 D	1999/CE/II/54 A	2006/CE/II/45 C (23%)	2014/DSE/I/43 D (38%)
1991/CE/II/60 C	1996/CE/II/48 C	2000/CE/II/50 C	2006/CE/II/48 D (68%)	2015/DSE/I/43 D (54%)
1992/CE/II/52 B	1996/CE/II/49 C (deleted)	2000/CE/II/51 A	2007/CE/II/48 C (69%)	2015/DSE/I/44 D (19%)
1992/CE/II/60 B	1996/CE/II/50 A	2001/CE/II/41 B (deleted)	2007/CE/II/50 C (57%)	2016/DSE/I/43 B (48%)
1993/CE/II/40 D	1996/CE/II/51 B	2001/CE/II/45 D	2008/CE/II/46 B (57%)	2017/DSE/I/41 B (48%)
1993/CE/II/54 B	1997/CE/II/50 C	2002/CE/II/48 A (31%)	2008/CE/II/47 A (70%)	2018/DSE/I/42 X (deleted)
1994/CE/II/51 B	1997/CE/II/51 D	2003/CE/II/43 B (67%)	2008/CE/II/48 C (47%)	2018/DSE/I/44 A (46%)
1994/CE/II/55 A	1997/CE/II/52 C	2003/CE/II/48 C (15%)	2008/CE/II/49 B (40%)	2019/DSE/I/44 C
2021/DSE/I/42 D	2022/DSE/I/42 A	2023/DSE/I/44 C	2024/DSE/II/40 B	2024/DSE/II/41 D

2025/DSE/I/44 C

1990/CE/I/3(a)(i)

Domestic exports of goods + Re-exports of goods - Imports of goods

= \$(218 + 275 - 501) bn.

= -\$8 bn.

(1)

(2)

- 1991/CE/II/4(b)

(i) Yes, because

it is trading of physical goods.

It worsens Hong Kong’s balance of payments. / This item represents a payment in HK’s b.o.p. account.

(1)

(1)

(1)

(ii) No, because

it is trading of service.

It favours Hong Kong’s balance of payments. / This item represents a receipt in HK’s b.o.p. account.

(1)

(1)

(1)

1992/CE/I/4(c)

	<u>Balance of invisible trade</u>	<u>Balance of payments</u>	
(i)	no effect	unfavourable	(2)
(ii)	favourable	favourable	(2)

1993/CE/I/2(b)(i)

Re-exports increase, because
more raw materials and machine to China via Hong Kong. (1)

OR

more Chinese exports via Hong Kong. (2)

1993/CE/I/4(a)

(ii) Yes, because (1)
the ratios of both exports and imports to total GDP increased (2)

(iii) Trade deficit in 1980 (1)
Trade surplus in 1990 (1)

Reasons:

- re-exports ↑ e.g. expansion of China trade
 - exports ↑ due to China factor, etc.
 - expansion of tertiary sector service related to trade, e.g. bank service, insurance service, tourism
 - expansion of infrastructure service related to trade, e.g. container port, airport, communication network (2@, max: 4)
- [Mark the **FIRST TWO** points only.]

1994/CE/I/8

It occurs when the country's capital account and other items in the current account altogether has a surplus and the surplus is greater than the trade deficit. (4)

1995/CE/I/9(b)

(i) Souvenirs imported from HK $\Rightarrow$ the US current account / trade account was unfavourably affected --- A (2)
Souvenirs bought by tourists $\Rightarrow$ the US current account / invisible trade account was favourably affected --- B (2)

A effect < B effect $\Rightarrow$ favourable to the US balance of payments (1)

(ii) It affected the US capital account favourably. (1)
 $\Rightarrow$ favourable to the US b.o.p. (1)

1996/CE/I/9

(a) $\$(24 - 35 + 17 - 19)$ mn. = $-\$13$ mn. (1)

(b) No, because (1)
there is a balance of payments deficit of \$28 mn. / the credit entry in the foreign exchange & gold account represents a decrease in reserves. (2)

1997/CE/I/6

If the initial export value of goods is significantly higher than the initial import value of goods and the difference is more than compensate for the difference in their individual growth rates, then there is a case of visible trade surplus. (3)

1997/CE/I/11(a)(i)

(I) No, because (1)
there is no export of goods but an import of \$1m. (1)

(II) No, because (1)
total payments (= \$1 m.) > total receipts (\$0.6 m.) (1)

1998/CE/I/8

- No, because (1)
no information on other items, such as the invisible trade account (, net current transfers, net factor income from abroad,)
and the capital account. (2)

1998/CE/I/11(c)

(ii) Current account

OR

Visible trade account / Invisible trade account (2)

- (iii) The fall in the local demand for Japanese cars will improve HK's visible trade balance. (2)
The fall in the re-export demand for Japanese cars will worsen HK's invisible trade balance. (2)
The combined effect on HK's balance of payments is uncertain, depending on the relative strength of the above two forces. (1)

1999/CE/I/6(b)

- Not included, because (1)
this \$10 000 is not the value of a service. (1)

2001/CE/I/8

- (a) (i) Goods (1)
Services (1)
(ii) E.g. interest (other examples are: dividend, rental income, wages) earned from / paid to foreign countries (2)
(b) The capital and financial account (2)

2004/CE/I/8

- Re-exports = visible trade surplus + import of goods - domestic exports
= \$(40 + 30 - 10) m (1)
= \$60 m (2)

2006/CE/I/11(a)

- (i) Visible trade balance = value of exports of goods - value of imports of goods (1)
[Most goods in HK are imported.] In Hong Kong, an increase in private consumption usually means an increase in value of imports of goods. (1)
∴ Visible trade balance most likely worsens. (1)
[other things being equal or assuming no change in value of exports of goods.]
(ii) The condition is:
Increase in the value of exports of goods < increase in the value of imports of goods (2)

2008/CE/I/11(c)

- Visible trade balance = value of exported goods - value of imported goods (1)
No because (1)
there may also be a fall in the value of exported goods (1)
which is larger than the fall in the value of imported goods. (1)

- 2009/CE/I/8
- (a) P is services. (1)
- (b) Q Account is Capital and Financial Account. (1)
- (c) (i) Visible trade balance = -130 billion dollars (1)
- (ii) Re-export of goods = 2 323 billion dollars (1)

2010/CE/I/9(d)

Imported souvenirs will decrease (the visible trade balance and hence) the balance of HK's current account. (1)

Souvenirs sold to inbound tourists will increase (the invisible trade balance of) HK's current account. (2)

The decrease in the current account balance is smaller than the increase in the current account balance. (1)

There is value added to the souvenirs by local service providers. (1)

- 2013/DSE/II/6
- (a) Balance of current account = $\$[35 - 50 + 47 - 27]$ million = \$5 million (1)
- (b) No, because (1)
- the BOP balance is -\$10 million, which implies a BOP deficit. (2)

2015/DSE/II/12(a)

A drop in the export of services to mainland tourists (1)

would reduce HK's current account surplus (or enlarge its deficit). (1)

2016/DSE/II/13(b)(i)

Proposal A on current account:

An increase in income tax would lower disposable income (1)

and result in a drop in consumption, AD, as well as output level. (1)

Import would fall, implying (1)

a bigger surplus or smaller deficit in the current account balance. (1)

Proposal B on current account:

A fee charged on departing travellers would result in an increase in the cost of using the airport. (1)

Travelling industry would be adversely affected, reducing the number of both incoming and outgoing travellers. (1)

Both import and export of services would drop, (1)

causing an ambiguous change in the current account balance. (1)

2017/DSE/II/12(c)

Invisible trade: the increase in cost of travel would result in a fall in the number of British citizens visiting the EU and hence the import of services.

Factor income: with fewer British workers working in the EU, there would be a drop in total wage payment to such workers.

Unilateral transfer: with fewer workers working in the EU, there would be a drop in their remittance back to Britain. (2@, max: 4)

2018/DSE/II/11

Balance of payments would be worsened, because (1)

export of goods would fall because of the embargo; (1)

export of services would also fall as fewer tourists would want to visit Country Z because of the threat of war; and (1)

foreign investors would withdraw their investments in Country Z, so capital may flow out of the country. (1)

10 a1) The balance of current account in 2017 = $-808 + 255 = -533$

The balance of current account in 2018 = $-891 + 269 = -622$

According to data of source A, the current account worsen (increase in deficit) by 89.

Ii) Not necessarily. As the other two components of current account (income and current transfer) are not given in data, there is no conclusion can be drawn about the change of current account.

2022/DSE/II/4c

(c) Other effects of devaluation:

- Export of services may rise, as more tourists are attracted to come and spend
Because devaluation makes local goods and services cheaper in terms of foreign
currency.
- It may attract capital inflows or foreign investment if the cost of investment in
terms of foreign currency decreases as a result of devaluation.
- Any other relevant point.

@ 2
max:2

[Mark the FIRST point only.]

2024/DSE/II/11(d)

- (d) As more Mainland visitors consume at Ann's coffee shop, the value of HK's exports of services increases. (1)
- As Ann buys more coffee beans from Brazil, the value of HK's imports of goods increases. (1)
- As there is value-added by Ann's coffee shop, the increase in the value of HK's exports of services (due to the increase in the sales revenue of Ann's coffee shop) would be greater than the increase in the value of HK's imports of goods (due to the increase in the purchase cost of Brazilian coffee beans by Ann's coffee shop). As a result, the current account balance of HK's balance of payments increases. (1)